

Indian Railway Catering & Tourism Corporation Ltd

IRCTC · Consumer Discretionary / Travel & Tourism

ROE

34.40%

ROCE

46.05%

Net Profit Margin

26.02%

D/E

0.02

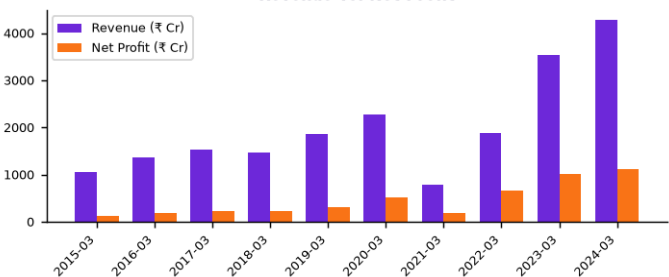
Revenue CAGR 5yr

17.96%

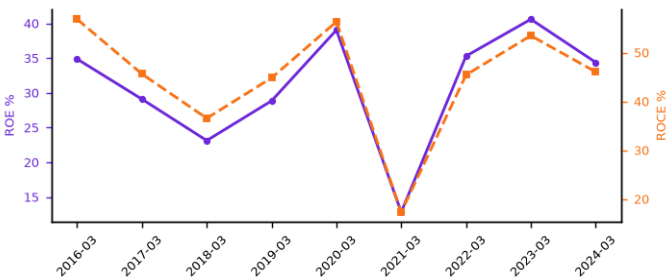
FCF (Rs. Cr)

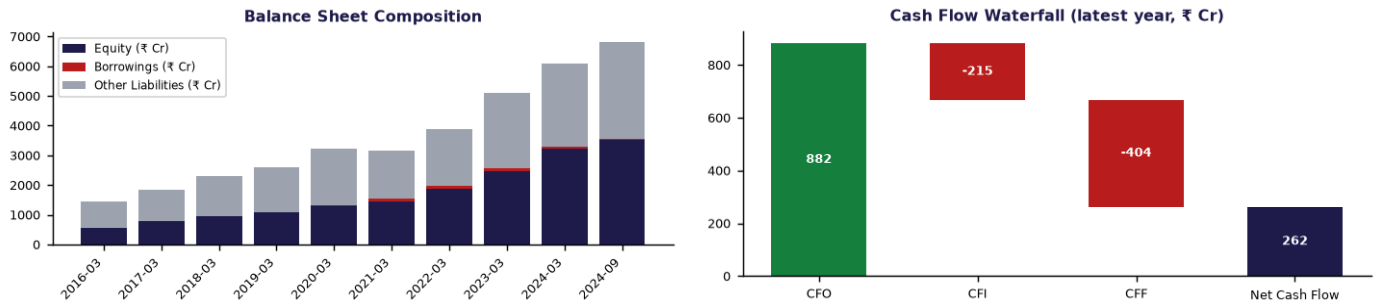
667

Revenue vs. Net Profit



ROE vs. ROCE





Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (100% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (100% confidence)
- ✓ Growing asset base funded by internal accruals reflects self-sustaining growth (100% confidence)
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (96% confidence)
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)

Cons

- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure (100% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (83% confidence)

Capital Allocation Pattern: **Reinvestor**